

MyAfriart / ArtStage - Business Capabilities Document

Version: 1.0 - **Date:** 16 July 2026 - **Status:** Production build v4 (Ship-Complete + Compliance)

1. Executive Summary

MyAfriart is a full-stack marketplace and services platform for African art. It combines four revenue-generating businesses on one codebase:

- **A curated marketplace** - direct sales of catalogued works
- **A timed auction house** - run to international auction standards
- **A brokered private-sale floor** ("the Sale Lounge") - with escrow and certification
- **An art-backed collateral registry** - the foundation for art-secured lending

These are wrapped in a trust infrastructure (identity verification, escrow, provenance, certificates, disputes) that most regional competitors do not have. **The trust layer is the moat:** anyone can list art online; very few platforms can make a stranger-to-stranger NGN 5m art transaction feel safe.

2. Capability Map

2.1 Discovery & Catalogue

Functionality	What it does
Curated catalogue	Browsable inventory of artworks and artists with country allocation controls
Piece detail pages	Short-code addressed pages with price, medium, palette, provenance status, view counts
Artist profiles	Biography, portfolio, country and era metadata
AI concierge chat	On-site assistant that guides visitors to artists, auctions, and tools

Business benefits

- **Zero-friction top of funnel.** Every artwork has a shareable URL with rich metadata - each piece page is a landing page for social and search traffic.
- **Merchandising control.** Country-allocation settings let the business shape the catalogue mix (e.g. 40% Nigerian, 20% Ghanaian) without engineering involvement.
- **View-count analytics** on pieces and artists tell you what to acquire, promote, and price up - inventory decisions driven by demand data, not guesswork.

2.2 AI Room Staging (the Studio)

Functionality	What it does
Room staging	Buyer uploads a photo of their wall; AI places any artwork at true scale
Device-aware rendering	Output sized for the buyer's actual room and screen

Business benefits

- **Converts hesitation into purchase.** The #1 objection in online art buying is "will it suit my space?" Staging answers it visually before the buyer has to imagine anything.
- **Differentiator with pull marketing built in.** Staged-room images are inherently shareable - every render a buyer posts is an advert with your artwork in it.

- **Upsell surface.** Staging sessions reveal wall size and taste; that data feeds recommendations and notification reels.

2.3 Live Timed Auctions

Functionality	What it does
Timed lots	Server-persisted auction lots with estimates, reserves, and countdowns
Bid-increment ladder	Standard ascending increments (NGN 5k -> NGN 250k bands), enforced server-side
Anti-sniping soft close	Bids in the final 2 minutes extend the lot - same rules as Christie's/Sotheby's timed sales
Hidden reserves	Reserve status shown, amount concealed - industry standard
Buyer's premium	20% premium calculated on the hammer price
Automated settlement	Cron-driven closing: sold if reserve met, passed if not
Unpaid-winner handling	Winners get a 72-hour payment deadline; unpaid lots automatically relist

Business benefits

- **Price discovery + urgency = higher realised prices.** Auctions routinely clear above fixed-price listings for desirable works; the soft close specifically prevents snipers from suppressing final prices.
- **The buyer's premium is a 20% revenue line** on every hammer, on top of any seller commission.
- **Credibility with consignors.** Running recognisably professional rules (increments, reserves, premiums) is what convinces serious collectors and estates to consign through you rather than ship to Lagos/London auction houses.
- **Zero manual settlement labour.** Expired lots settle themselves; unpaid winners are automatically cycled out - no staff chasing deadbeat bidders before relisting.

2.4 Direct Sales ("Buy Now")

Functionality	What it does
One-click checkout	Buy now on any priced piece via Paystack (cards, bank, USSD)
Payment verification	Dual confirmation: redirect callback + signed webhook
Automatic fulfilment	Successful payment marks the work sold and writes a provenance event atomically

Business benefits

- **Captures the impulse buyer** who won't wait for an auction or negotiate in the Lounge.
- **Paystack coverage means Nigerian buyers pay how they actually pay** - cards, transfers, USSD - not just international rails.
- **No phantom sales, no lost payments.** The webhook + idempotency architecture means a payment is either fully recorded (sold + provenance + receipt) or not at all. This is the difference between a marketplace and a spreadsheet with a payment link.

2.5 The Sale Lounge (Private Sales Floor)

Functionality	What it does
Members-only floor	Sign-in gated listing board: "selling" and "looking for" posts
Private messaging	Real-time buyer-seller threads per listing

Brokerage on demand	Either party can request MyAfriart brokerage at a configurable fee (default 5%)
Escrow payments	Buyers pay into escrow; funds held until admin release on confirmed delivery

Business benefits

- **Serves the market segment that hates public prices.** High-value African art trades privately; the Lounge digitises the WhatsApp-and-handshake market you're competing with.
- **Brokerage fee income on peer-to-peer deals** you didn't source - the platform monetises transactions between members.
- **Escrow is the conversion unlock.** Strangers don't wire NGN 3m to strangers. Held funds with platform release is what turns lurkers into transactors - and every escrow deal passes through your fee gate.
- **Network effects.** Every buyer post ("looking for mid-century Yoruba bronze") is demand data and a reason for sellers to join.

2.6 Brokerage, Certification & Public Verification

Functionality	What it does
Brokerage workflow	Admin-managed pipeline: requested -> verified -> in transit -> delivered -> certified
PDF certificates	Branded Certificates of Authenticity generated per brokered transaction
Certificate registry	Every certificate gets a unique verify code stored server-side
Public verification	Anyone can check a certificate at <code>/verify/cert/{code}</code> - no account needed

Business benefits

- **The certificate is a product, not paperwork.** Authentication + delivery monitoring + certification is a service worth its brokerage fee on its own.
- **Public verification makes your certificates liquid.** A collector reselling a MyAfriart-certified work can point any future buyer at the verify URL. Your paper travels with the artwork forever - and every verification is a branded touchpoint with someone new who is, by definition, an art buyer.
- **Forgery defence.** Codes are server-registered and revocable; a faked PDF fails the public check. This protects the brand from the fraud that plagues the art trade.

2.7 Provenance Ledger

Functionality	What it does
Ownership chain	Immutable event log per artwork: sales, transfers, certifications
Automatic recording	Every fulfilled payment writes a provenance event in the same transaction

Business benefits

- **Provenance is price.** Documented history materially raises resale value - works sold through MyAfriart become worth more *because* they were sold through MyAfriart, which is a structural reason for sellers to prefer your platform.
- **Future secondary-market royalties.** A tracked ownership chain is the prerequisite for artist resale royalties - a program that would be a first-mover differentiator for African artists and a press story on its own.

2.8 Art-Backed Collateral Registry

Functionality	What it does
Collateral portal	Verified members pledge works with appraised value and requested loan amount

Authentication workflow	Admin pipeline: pending -> authenticated -> active -> released/rejected
Lien flags	Pledged artworks are marked and cannot be sold until the lien is released
KYC gate	Pledging is hard-blocked without a verified identity

Business benefits

- **Opens an entirely new category.** Art-as-collateral is a multi-billion-dollar business globally (Sotheby's Financial, Athena Art Finance) and effectively non-existent for African art. This is the platform's expansion story for investors.
- **Deepens lock-in.** A collector with a pledged work is a multi-year relationship, not a one-off transaction.
- **Lien registry prevents double-spending fraud** - a pledged work physically cannot be sold or re-pledged through the platform. That integrity is what a lending partner (bank, credit fund) will require before putting capital behind the product.
- **Decision point:** the platform is built as the *registry and workflow*; whether MyAfriart lends its own capital, brokers to a partner lender, or charges registry/authentication fees is a business-model choice the code already supports.

2.9 Identity Verification (KYC)

Functionality	What it does
Member verification	NIN, passport, driver's licence, or voter's card + document upload
Secure document handling	Private storage, magic-byte file validation, admin-only 10-minute signed URLs
Review queue	Admin approve/reject with mandatory rejection reasons; members can resubmit
Risk-based enforcement	Required for all collateral pledging and for escrow payments NGN 500,000 (tunable)

Business benefits

- **Regulatory survival.** Art dealing + payments + lending sits inside Nigeria's AML/CFT perimeter (SCUML registration for art dealers). Demonstrable KYC is what keeps the platform bankable - payment processors and lending partners will ask for exactly this.
- **Fraud cost avoidance.** Verified identities on high-value flows cut chargeback fraud, stolen-art pledging, and money-laundering exposure - losses that would otherwise come straight off the bottom line.
- **Risk-based friction.** Casual buyers browse and buy small without paperwork; only high-value and lending flows demand verification. Compliance without killing conversion.
- **Trust as marketing.** "Verified members" is now a claim the platform can truthfully make.

2.10 Dispute Resolution

Functionality	What it does
Member dispute filing	Any completed payment can be disputed in-app with a reasoned claim
Escrow freeze	Opening a dispute instantly freezes any held escrow funds
Atomic resolution	Admin resolves with one action: refund escrow + mark payment refunded in a single transaction
Audit trail	Every dispute records who opened it, why, who resolved it, and the outcome

Business benefits

- **Keeps conflict inside the house.** Without in-app recourse, an unhappy buyer's next stops are their bank (chargeback - you lose the money *and* pay the penalty) or social media (you lose the brand). A dispute button is dramatically cheaper than either.

- **Escrow freeze protects the platform's credibility** - no seller gets paid out while a delivery is contested, so "escrow" means what buyers think it means.
- **The audit trail is your defence file** for payment-processor investigations and any future regulatory review.

2.11 Notifications & Sample Reels

Functionality	What it does
Preference-based reels	Members receive curated artwork reels matched to stated tastes
Frequency capping	Admin-controlled maximum sends per week
Sponsor slots	Weighted sponsor panes can be sold into reels

Business benefits

- **Owned re-engagement channel** - reactivates dormant members without paying for ads.
- **Sponsor panes are sellable ad inventory** inside a high-intent, art-only audience.
- **Frequency caps protect the asset** - the channel stays valuable because it isn't spammed.

2.12 Content Studio (No-Code Site Management)

Functionality	What it does
Visual page editor	Admins edit headline copy and hero imagery per page with live preview
Device-aware media	Uploads auto-generate mobile/tablet/desktop sizes
Server persistence	Published content stored centrally; live for all visitors instantly

Business benefits

- **Marketing moves at marketing speed.** Campaign copy, seasonal heroes, and message tests ship in minutes with zero engineering cost per change.
- **No agency dependency** for routine site updates.

2.13 Admin Operations Suite

Functionality	What it does
Unified console	Fifteen operational tabs: catalogue, artists, styles, panes, allocation, transactions, analytics, brokerage, collateral, KYC, disputes, content, settings
Role-gated access	Admin role enforced server-side on every operation
Transaction lookup	Every payment, brokerage deal, and pledge is traceable by short code

Business benefits

- **One person can run the platform.** All daily operations - approving pledges, reviewing IDs, resolving disputes, issuing certificates, editing the site - live in a single console. Headcount scales with transaction volume, not with feature count.
- **Every money-touching action is attributable** to a named admin - the internal-controls posture investors and auditors expect.

2.14 Trust & Security Infrastructure (Invisible but Priced-In)

Functionality	What it does
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Webhook integrity	HMAC-SHA512 signature verification + idempotent event log - payments can't be spoofed or double-processed
Rate limiting	120 requests/minute per IP on all APIs - scraping and abuse throttled
Row-level security	Database-enforced access: members see their own data, admins see everything, nobody sees more
Malware-scanned uploads	Magic-byte validation on all uploads; optional VirusTotal scanning
Aggressive audit gate	59-check hostile audit script (npm run audit:aggressive) runs tests, build, secret scans, and security assertions - currently 100/100

Business benefits

- **This is what "production-grade" means commercially:** the platform can pass a payment processor's onboarding review, a partner bank's technical due diligence, and an acquirer's security questionnaire. Each of those gates unlocks revenue the features alone cannot.
- **The audit gate keeps it that way** - every future release must pass the same 59 hostile checks before it ships, so quality is enforced, not aspirational.

3. Revenue Model Summary

Revenuestream	Poweredby	Mechanics
Buyer's premium	Auctions	20% on every hammer price
Direct sale margin/commission	Buy Now checkout	Platform-set pricing on catalogue works
Brokerage fees	Sale Lounge	Default 5% (admin-tunable) on brokered private sales
Escrow-enabled deal flow	Escrow + disputes	Trust layer converts P2P deals that would otherwise die
Certification services	Certificate registry	Authentication + certification as a paid service
Collateral/registry fees	Collateral portal + liens	Authentication fees today; lending margin or partner-referral fees tomorrow
Sponsor inventory	Notification reels	Weighted sponsor slots in curated reels

Compounding effect: each trust capability raises the ceiling on the others. KYC makes escrow safe at higher values -> escrow makes the Lounge liquid -> Lounge volume feeds brokerage and certification -> certificates and provenance raise resale values -> higher values justify collateral lending -> lending locks in the collectors who consign the best auction lots.

4. Compliance & Risk Posture

Area	Status
Identity verification	Live - risk-based (collateral: always; escrow NGN 500k)
AML surface	KYC records + full payment audit trail + attributable admin actions
Payment integrity	Signed webhooks, idempotent processing, atomic fulfilment
Buyer protection	Escrow, freeze-on-dispute, atomic refunds

Honest marketing	Copy audited - no "verified" claims beyond what the platform enforces
Data protection	Private KYC storage, time-limited signed URLs, RLS throughout

Open items requiring business (not engineering) action:

- **Paystack live credentials** and production webhook registration - turns payments on.
- **SCUML/regulatory registration** as an art dealer - legal counsel task.
- **Lending model decision** - own capital vs. partner lender vs. registry-fees-only.
- **Insurance** for works in transit under brokerage - negotiate a carrier partnership.

5. One-Line Positioning

MyAfriart is the only platform where African art can be discovered, staged on your wall, bought, auctioned, brokered, certified, verified, and borrowed against - with bank-grade trust infrastructure under every transaction.